

tends to diminish after about 12 different investments, and the maintenance cost required increases.

Asset allocation requires just as much common sense as it does quantitative number crunching. Accordingly, your study of this strategy should not stop here. There are a number of books, Web sites, and computer programs that can assist you. Roger Gibson's book, *Asset Allocation: Balancing Financial Risk* (McGraw-Hill), is a good start, along with *The Intelligent Asset Allocator* and *The Four Pillars of Investing* by William Bernstein (McGraw-Hill). I do not necessarily agree with all the asset classes selected by these authors, but I do agree with 90 percent of them.

The enemy of a good plan is the quest for a perfect plan because the quest for a perfect plan is an endless journey. The minutiae bog people down. They start to suffer from analysis paralysis, and nothing gets accomplished. Fight the urge to be perfect. Instead, design a good plan, implement that plan, and maintain that plan. You will be much further ahead by doing so.

The best portfolio you can design is one that fits your needs. If you are comfortable with the allocation, you will maintain it over a long period of time and during all market conditions. That is what really counts.

A FINAL WORD ABOUT MULTI-ASSET-CLASS INVESTING

There are several ways to select a multi-asset-class portfolio. One way is to answer a few questions on a questionnaire and feed those answers into a computer. The problem with this approach is that the computer is purely mathematical and relies too much on past risks, returns, and correlations. Basically, the computer simulation assumes that whatever happened in past is the most probable scenario for the future. This is an extremely unreliable way to make investment decisions. The world is constantly changing, and no computer simulation can accurately predict the changes that will occur or how these changes will affect a portfolio.

In addition, a computer does not know who you are and cannot assess your personality profile so that the allocation it recommends truly fits your needs. It does not know how secure your job is, or how healthy you are, or if you have special family needs. It does not know if your children have